

Warsaw, August 30, 2024

Decision

DOKE.561.4.2024

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text, Journal of Laws of 2024, item 572) in connection with Article 7 paragraphs 1 and 2, Article 60, Article 101, Article 101a paragraph 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text) and based on Article 57 paragraph 1 letters a) and h), Article 58 paragraph 2 letter i), Article 83 paragraphs 1-3, Article 83 paragraph 4 letter a) in connection with Article 31 and Article 83 paragraph 5 letter e) in connection with Article 58 paragraph 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of individuals with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of May 4, 2016, p. 1, with amendments published in Official Journal of the EU L 127 of May 23, 2018, p. 2, and in Official Journal of the EU L 74 of March 4, 2021, p. 35, hereinafter referred to as "Regulation 2016/679"), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on Ms. A. K. conducting business under the name B. in M. at ul. (...), the President of the Personal Data Protection Office, finding that Ms. A. K. conducting business under the name B. in M. at ul. (...) violated the provisions of Article 31 and Article 58 paragraph 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to fulfill his tasks, imposes on Ms. A. K., conducting business under the name B. in M. at ul. (...), an administrative monetary penalty in the amount of 19,644 PLN (in words: nineteen thousand six hundred forty-four zlotys).

JUSTIFICATION

Factual Background

A complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as "the President of UODO" or "the authority") by Mr. W. D., residing in C. at ul. (...) (hereinafter referred to as "the Complainant") regarding irregularities in the process of processing personal data by K. Sp. z o.o. Sp. k. based in W. at ul. (...). During the proceedings, the President of UODO established that the data controller of the Complainant's personal data is Ms. A. K. conducting business under the name B. in M. at ul. (...) (hereinafter referred to as "the Entrepreneur"). In connection with the complaint of Mr. W. D., administrative proceedings were initiated under reference number (...). During the indicated proceedings – acting under Article 58 paragraph 1 letters a) and e) of Regulation 2016/679 – the President of UODO, by letter dated June 9, 2020, summoned the Entrepreneur to respond to the content of the complaint and to provide explanations regarding the matter, in particular to answer the following questions:

- 1) when (please indicate the exact date), on what legal basis (please specify the specific provision(s) of law), for what purpose and to what extent (please list the categories/types of data) the Administrator obtained the Complainant's personal data;
- 2) whether the Administrator processes the Complainant's personal data, and if so, for what purpose, on what legal basis (please specify the specific provision(s) of law), to what extent, and until when the data will be processed;
- 3) whether the Administrator has entrusted or has entrusted the processing of the Complainant's personal data to K. Sp. z o.o. Sp. k. based in W. at ul. (...), hereinafter referred to as "the Company", and if so, until when, for what purpose, on what legal basis, and on what date, and what data is involved;
- 4) whether the Administrator has a data processing entrustment agreement with the Company, and if so, please send it;
- 5) whether the Complainant has requested the Administrator to cease processing his personal data or to delete his personal data, and if so, what was the content of the request, when, and how did the

Administrator respond to the above;

6) whether the Company forwarded the Complainant's request to the Administrator to cease processing his personal data, and if so, when and how did the Administrator respond to the above. The summons was directed to the address for service indicated in the Central Register and Information on Economic Activity "CEIDG", namely: ul. (...) M. and was received by the Entrepreneur (according to the information on the return receipt of the aforementioned summons) on June 12, 2020. Despite receiving the aforementioned letter, the Entrepreneur did not fulfill the authority's request. Due to the lack of response to the summons of June 9, 2020, by letters dated October 20, 2020, January 13, 2021, April 23, 2021, and October 21, 2021, the President of UODO again requested the Entrepreneur to respond to the content of the complaint and to provide answers to the questions contained in the summons of June 9, 2020 (see point 2 of the justification). The letters dated October 20, 2020, and January 13, 2021, were received directly by the Entrepreneur. to impose administrative fines for violations of the provisions of the regulation.

****Proceedings****

In connection with the failure of the Entrepreneur to provide the information necessary to resolve the case with reference number (...), the President of the Personal Data Protection Office (UODO) initiated, ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding under reference number DOKE.561.4.2024 regarding the imposition of an administrative fine on the Entrepreneur for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Entrepreneur was informed about the initiation of the proceedings by a letter dated May 31, 2024 (reference: DOKE.561.4.2024). The correspondence was delivered to the Entrepreneur on June 6, 2024. In this letter, the Entrepreneur was summoned, in order to establish the basis for the calculation of the administrative fine based on Article 101a(1) of the Act of May 10, 2018 on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text, hereinafter referred to as "u.o.d.o."), to present a copy of the PIT tax return or a statement of the financial result achieved in 2023. The Entrepreneur was informed about the nature of the alleged violation; he was also instructed about the sanctions that threaten for this violation, as well as about the still existing possibility of submitting explanations requested by the President of UODO, which could have a mitigating effect on the amount of the administrative fine imposed in this case. Furthermore, the Entrepreneur was informed about the possibility of expressing his opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests. The Entrepreneur did not take any action in response to the information about the initiation of these proceedings. The Entrepreneur did not respond to the content of the complaint and did not submit explanations regarding the case with reference number (...) despite multiple requests made to him by phone to the number indicated in the Central Register and Information on Economic Activity (CEIDG) (...).

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO – as the supervisory authority in the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO examines, among other things, complaints lodged by individuals whose data are concerned, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant in a reasonable time about the progress and results of these proceedings (Article 57(1)(f) of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks defined in this way, the President of UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the conducted proceedings,

including the power to impose administrative fines for violations of the provisions of the regulation. to sanction the administrator and the processor to provide all information necessary for the performance of their tasks (Article 58(1)(a) of Regulation 2016/679) and the right to obtain from the administrator and the processor access to all personal data and information necessary for the performance of their tasks (Article 58(1)(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679 consisting of the failure of the administrator or the processor to provide access to personal data and information resulting in a breach of the rights of the authority specified in Article 58(1) of this legal act is subject to – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – an administrative fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Additionally, both the administrator and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – in accordance with Article 83(4)(a) of Regulation 2016/679 – an administrative fine of up to 10,000,000 EUR, and in the case of an enterprise – up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

According to Article 83(3) of Regulation 2016/679, in the event of a violation by the administrator or the processor within the same or related processing operations of several provisions of this regulation, the total amount of the administrative fine may not exceed the amount of the fine for the most serious violation.

In assessing whether, and if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the violation, taking into account the nature, scope, or purpose of the processing in question, the number of data subjects affected, and the level of damage suffered by them,
- b) the intentional or negligent character of the violation,
- c) actions taken by the administrator or the processor to mitigate the damage suffered by the data subjects,
- d) the degree of responsibility of the administrator or the processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32,
- e) any relevant previous violations by the administrator or the processor,
- f) the degree of cooperation with the supervisory authority in order to remedy the violation and mitigate its possible negative effects,
- g) the categories of personal data affected by the violation,
- h) the manner in which the supervisory authority became aware of the violation, in particular, whether and to what extent the administrator or the processor reported the violation,
- i) if measures referred to in Article 58(2) have previously been applied to the administrator or the processor in the same matter – compliance with those measures,
- j) the application of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42,
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained as a result of the violation or avoided losses.

Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of determining the fine).

For the purpose of establishing the basis for determining the administrative fine, the entity against which the proceedings for the imposition of an administrative fine are conducted is obliged, at the request of the President of the Personal Data Protection Office (UODO), to provide, within 30 days

from the date of receipt of the request, the data necessary to determine that basis (Article 101a(1) of the Personal Data Protection Act).

In the event of failure to provide this data by the entity subject to sanction, the President of the UODO determines the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Personal Data Protection Act).

The equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in Polish zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date (Article 103 of the Personal Data Protection Act).

Pursuant to Article 60 of the Personal Data Protection Act, proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the Personal Data Protection Act states that in matters not regulated by this act, administrative proceedings before the President of the UODO (including proceedings concerning imposed administrative monetary penalties, referred to in Chapter 11 of the Act on the Protection of Personal Data (u.o.d.o.), the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (t.j. Dz. U. of 2024, item 572), hereinafter referred to as "k.p.a.", shall apply. According to Article 7, paragraph 2 of the u.o.d.o., these proceedings are single-instance proceedings.

Legal Assessment

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it is necessary to first consider whether the Entrepreneur is the addressee of the obligations referred to in Articles 31 and 58, paragraph 1, letters a) and e) of Regulation 2016/679, the violation of which is subject to administrative monetary penalties under Article 83, paragraph 4, letter a) and paragraph 5, letter e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations—within the proceedings conducted by the President of the Personal Data Protection Office (UODO)—on administrators and on processing entities.

In the course of the proceedings with reference number (...) it was established that the Entrepreneur acts, in relation to the personal data of Mr. W. D. (the complainant), in the role of an administrator as defined in Article 4, point 7 of Regulation 2016/679. Consequently, the President of UODO is entitled—according to Article 58, paragraph 1, letter a of Regulation 2016/679—to order him to provide information necessary for the consideration of Mr. W. D.'s complaint, and the Entrepreneur—by virtue of Article 58, paragraph 1, letter e of Regulation 2016/679—is obliged to provide such information.

In the proceedings with reference number (...), in order to obtain information necessary for the consideration of the complaint, the President of UODO repeatedly requested the Entrepreneur to respond to the content of the complaint and to provide explanations in the form of answers to specific questions regarding the case (see point 2 of the justification). The requests (letters dated June 9, 2020, October 20, 2020, and January 13, 2021) were received directly by the Entrepreneur (according to the information on the return receipts of the aforementioned letters), which allows for the assumption that the information about the ongoing proceedings and the demands directed at him by the authority reached the Entrepreneur's awareness. Despite this, the authority did not receive a response from the Entrepreneur by the date of this decision. Consequently, the President of UODO did not gain access to the information necessary to fulfill his tasks—in this case, to examine the merits of the complainant's complaint.

This situation was not changed by the initiation of proceedings by the President of UODO regarding the imposition of an administrative monetary penalty on the Entrepreneur (with reference number DOKE.561.4.2024). The letter dated May 31, 2024, addressed to the Entrepreneur within the framework of this proceeding (see point 6 of the justification), despite being correctly received on June

6, 2024, remained unanswered. Additionally, a telephone conversation with the Entrepreneur did not yield the expected result in the form of cooperation with the supervisory authority. In the opinion of the President of UODO, this indicates a dismissive attitude of the Entrepreneur towards the authority and the ongoing proceedings.

The Entrepreneur's conduct, consisting of failing to provide the President of UODO with access to the information necessary in the proceedings with reference number (...), simultaneously fulfills the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes the obligation to present to the President of UODO—at his request—all information held by the administrator related to the ongoing proceedings and to grant—within its framework—access to all personal data and information necessary for this proceeding. The lack of access to the information that the President of UODO requested from the Entrepreneur is an obstacle to the objective, thorough, and comprehensive consideration of the case with reference number (...). In light of the above, it should be concluded that there are grounds for imposing on the Entrepreneur—pursuant to Article 83, paragraph 4, letter a) and Article 83, paragraph 5, letter e) in fine of Regulation 2016/679—an administrative monetary penalty due to the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and due to the failure of the Entrepreneur to provide access to personal data and information necessary for the President of UODO to fulfill his tasks, that is, to resolve the case with reference number (...).

The consequence of the lack of access to the information that the President of UODO requested from the Entrepreneur was also the unjustified prolongation of the duration of the proceedings initiated by the complainant's complaint, which, in turn, contradicted the fundamental principles governing administrative proceedings—defined in Article 12, paragraph 1 of the k.p.a. as the principles of thoroughness and speed of proceedings.

At the same time, in light of the determination of the violation by the Entrepreneur of two provisions, namely Article 31 and Article 58, paragraph 1, letters a) and e) of Regulation 2016/679, in accordance with the provisions of Article 83, paragraph 3 of this legal act, the President of UODO determined the amount of the imposed administrative monetary penalty not to exceed the amount of the penalty for the most serious of these violations. In the presented factual state, the President of UODO considered the most serious violation to be the failure of the Entrepreneur to provide the President of UODO with access to all personal data and information necessary for the performance of his tasks, that is, the violation of Article 58, paragraph 1, letters a) and e) of Regulation 2016/679, punishable by a fine of up to EUR 20,000,000, or in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher. The seriousness of this violation is evidenced by the fact that

****Lack of access to personal data and information,****
which the President of the UODO requested from the Entrepreneur,
prevents an objective, thorough, and comprehensive
examination of the case.

****Conditions and principles for the imposition of an administrative monetary penalty****

Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, attention is paid to a number of conditions listed in points a) to k) of the aforementioned provision (see point 14 of the justification). In deciding to impose an administrative monetary penalty on the Entrepreneur in this case and determining its amount, the President of the UODO took into account the following circumstances that weigh against the assessment of the violation:

1. ****The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).****

The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, namely the right to the protection of their personal data, or more broadly – to the protection of their privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are supervisory

authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this regard. In order to enable the fulfillment of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to ensure these authorities access to personal data and information necessary for the performance of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, who provided for a higher penalty for their violation under two provisions of Regulation 2016/679 – a penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year.

The actions of the Entrepreneur in this case, consisting of hindering and preventing access to the information and personal data requested by the President of the UODO, should be regarded as undermining the entire system of personal data protection, and consequently, having significant weight and reprehensible character. The seriousness of the violation is further increased by the fact that the violation committed by the Entrepreneur was not a one-time and incidental event. The failure of the Entrepreneur was continuous and prolonged, as it lasted from the expiration of the 7-day deadline for submitting explanations, set in the first request addressed to the Entrepreneur in the proceedings with reference number (...), that is from June 19, 2020. Thus, more than four years have passed until the issuance of the administrative decision concluding this proceeding.

2. **The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).**

In the opinion of the President of the UODO, there was a conscious and deliberate lack of willingness on the part of the Entrepreneur to cooperate in ensuring the supervisory authority access to all information necessary for resolving the case, which the President of the UODO had requested from him several times. The failure to respond to the correspondence directed to the Entrepreneur is assessed by the President of the UODO as a deliberate action hindering or even preventing him from assessing the legitimacy of the complaint filed by the Complainant. It is worth noting that the information about the initiation of this proceeding (letter from the President of the UODO dated May 31, 2024), in addition to information about the committed violation and the threat of an administrative monetary penalty for this violation, also indicated the still existing possibility of providing explanations that the President of the UODO had requested from the Entrepreneur in the proceedings with reference number (...). The Entrepreneur was therefore fully aware of the violation committed and also knew how to resolve the state of this violation (to provide the requested information to the President of the UODO). This state indicates a lack of willingness on the part of the Entrepreneur to cooperate with the authority or at least constitutes a gross disregard for his obligations related to this cooperation, and thus proves the Entrepreneur's awareness that his actions constitute a violation of the provisions of Regulation 2016/679.

In light of the above, in the opinion of the President of the UODO, the violation committed by the Entrepreneur was intentional, and therefore this circumstance should be assessed negatively and considered as aggravating in the context of determining both the legitimacy of imposing the penalty and the amount of the penalty imposed.

3. **The degree of cooperation with the supervisory authority in order to rectify the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).**

During this proceeding regarding the imposition of an administrative monetary penalty on the Entrepreneur, as well as in the course of the proceedings with reference number (...), the Entrepreneur did not engage in any cooperation with the President of the UODO. In particular, the Entrepreneur did not provide the information requested by the President of the UODO, which could have been treated as an action aimed at rectifying the violation identified in this case or mitigating its effects. Such a lack of cooperation with the President of the UODO resulted in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO. The Entrepreneur's continued failure to cooperate...

is related to individuals whose data is concerned, this circumstance cannot be taken into account.

1. The nature, gravity, and duration of the infringement (Article 83(2)(a) of Regulation 2016/679) – the infringement (failure to provide the President of UODO with access to necessary information) does not pertain to the data subjects, thus this circumstance cannot be considered.
2. The intentional or negligent character of the infringement (Article 83(2)(b) of Regulation 2016/679) – the President of UODO did not find that the Entrepreneur acted intentionally or negligently in this case.
3. Any actions taken by the Entrepreneur to mitigate the damage suffered by data subjects (Article 83(2)(c) of Regulation 2016/679) – the President of UODO did not identify any actions taken by the Entrepreneur to mitigate damage, as the infringement did not directly affect data subjects.
4. The degree of responsibility of the Entrepreneur, taking into account technical and organizational measures implemented by them (Article 83(2)(d) of Regulation 2016/679) – the President of UODO assessed that the Entrepreneur did not implement sufficient technical and organizational measures to comply with data protection regulations.
5. Previous infringements by the Entrepreneur (Article 83(2)(e) of Regulation 2016/679) – as previously mentioned, the President of UODO did not find any prior infringements by the Entrepreneur regarding data protection laws.
6. The manner in which the supervisory authority became aware of the infringement (Article 83(2)(h) of Regulation 2016/679) – the President of UODO became aware of the infringement through the ongoing proceedings before him, which is a natural way of obtaining information about such infringements.
7. Compliance with previously applied measures in the same case (Article 83(2)(i) of Regulation 2016/679) – prior to issuing this decision, the President of UODO did not apply any measures to the Entrepreneur in this case.
8. The use of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679) – the Entrepreneur does not use the instruments mentioned in Articles 40 and 42 of Regulation 2016/679, and their adoption is not mandatory for administrators.
9. Financial benefits directly or indirectly gained in connection with the infringement or avoided losses (Article 83(2)(k) of Regulation 2016/679) – the President of UODO did not find that the Entrepreneur gained any financial benefits or avoided losses due to the failure to provide the requested information.
10. Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679) – the President of UODO, comprehensively considering the case, did not note any other circumstances that could influence the assessment of the infringement and the amount of the imposed administrative fine.

The remaining circumstances listed in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of UODO due to the nature of the infringement (concerning the relationship between the administrator and the supervisory authority, and not with the individuals whose data is concerned).

is related to the breach of personal data of any individual, consequently, it cannot be stated that damages occurred on the part of individuals; actions taken by the administrator to minimize the damages suffered by the data subjects (Article 83(2)(c) of Regulation 2016/679) – due to the fact that it cannot be established that damages occurred on the part of individuals, there is no obligation or possibility for the Entrepreneur to take any actions aimed at minimizing them; the degree of responsibility of the administrator considering the technical and organizational measures implemented by them pursuant to Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the breach in itself is not related to the technical and organizational measures implemented by the Entrepreneur to ensure the protection of personal data and the security of their processing; categories of personal data affected by the breach (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the breach consisting of failing to provide access to information necessary for the President of UODO to perform his tasks is not related to the breach of any personal data. According to the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case.

In defining the aforementioned principles of imposing administrative fines, reference should be made to the views of legal doctrine on the protection of personal data. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportional if it does not exceed the threshold of hardship determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention, in other words, it constitutes a clear signal of disapproval of the breach for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Regulation on Data Protection. Personal Data Protection Act. Selected Sectoral Provisions. Commentary). The principles of imposing administrative fines as defined above require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of an enterprise, Regulation 2016/679 allows for the acceptance of the total annual global turnover from the previous financial year (Article 83(5) of Regulation 2016/679). Supplementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of UODO determines the basis for calculating the administrative fine based on estimates regarding the size of the entity, the specifics of its activities, or generally available financial data concerning the entity. Referring to the economic potential of the penalized entity is necessary because, among other things, a disproportionately low fine in relation to the financial capabilities of the perpetrator of the breach (a fine that is practically "invisible" to that entity) will not be effective and deterrent for that entity; a fine that is too burdensome (a fine whose payment threatens the existence of the entity) will not be a proportional fine. In the opinion of the President of UODO, the fine imposed on the Entrepreneur in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its hardship in financial terms will discipline the Entrepreneur to cooperate properly with the President of UODO in the proceedings conducted with his participation before the President of UODO. In terms of disciplining the Entrepreneur, the fine will therefore be effective (it will achieve its goal). The fine imposed by this decision is also, in the opinion of the President of UODO, proportional to the seriousness of the established breach and to the possibility of its bearing by the Entrepreneur without significant detriment to the business conducted by him. This fine will also serve a deterrent function; it will be a clear signal for the Entrepreneur, obliged under the provisions of Regulation 2016/679 to cooperate with the President of UODO, that neglecting obligations related to cooperation with him (in particular, hindering access to personal data and information necessary for the performance of his tasks) constitutes a breach of significant weight and as such will be subject to financial sanctions. Due to the failure of the Entrepreneur to provide the financial data requested by the President of UODO for the year 2023, as well as the lack of generally available financial data concerning the Entrepreneur, in estimating the amount of the administrative fine in this case, the President of UODO took into account, based on Article 101a(2) of the Personal Data Protection Act, the specifics, scope, and scale of the activities conducted by the Entrepreneur. The Entrepreneur actively conducts business activities of a construction nature. The permanent place of business of the Entrepreneur is located at ul. (...) M., while an additional place of business, which is also the address for service, is located at ul. (...) M. The Entrepreneur is registered in CEiDG with the status "active." The subject of the predominant activity is classified under PKD number (...), i.e., performing (...). Additionally, it is listed in the VAT Register with the status of "active taxpayer." An internet presence has been identified for the Entrepreneur's business activities. All this information

****Arguments for Recognizing the Entrepreneur's Business Activity as Profitable and Well-Performing****

In connection with the fact that the entity subject to sanction in this case is conducting business on a small scale, the monetary penalty imposed on it by this administrative decision, which is relatively low (constituting 0.02% of the maximum penalty that, according to Article 83(5)(e) in fine of Regulation 2016/679, the President of the Personal Data Protection Office could impose for the violation established in this case), will be a burdensome and thus effective penalty for the Entrepreneur, but also one that can be borne without threatening the material foundations of its existence and the business it conducts.

To ensure a consistent approach to the imposition of administrative monetary penalties, the European

Data Protection Board adopted Guidelines 4/2022 on calculating administrative monetary penalties under the GDPR on May 24, 2023 (hereinafter referred to as "Guidelines 4/2022"). The starting point for calculations is the consideration of three elements: the categorization of violations based on their nature according to Article 83(4-6) of Regulation 2016/679, the severity of the violation, and the turnover of the enterprise, which constitutes one of the essential elements to be taken into account in order to calculate the amount of the monetary penalty. The lack of information regarding the annual turnover of the enterprise in this proceeding limited the possibility of applying the methodology for calculating the monetary penalty using tables or percentage values specified in Guidelines 4/2022. Therefore, in determining the amount of the administrative monetary penalty in this case, the President of the Personal Data Protection Office took into account the general principles of penalty assessment described above.

Considering the provisions of Article 103 of the Personal Data Protection Act, the President of the Personal Data Protection Office imposed on the Entrepreneur – using the average euro exchange rate from January 29, 2023 (where 1 EUR = 4.3653 PLN) – an administrative monetary penalty in the amount of 19,644 PLN (in words: nineteen thousand six hundred forty-four zlotys, which is equivalent to 4,500 Euros – in words: four thousand five hundred euros).

Having the above in mind, the President of the Personal Data Protection Office ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002, on Proceedings Before Administrative Courts (consolidated text: Journal of Laws of 2024, item 935), (hereinafter referred to as "p.p.s.a."), the Party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018, on the Protection of Personal Data, the filing of a complaint by the Party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the Personal Data Protection Act, the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw, account number 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105(2) of the Personal Data Protection Act, the President of the Personal Data Protection Office may, upon a justified request from the sanctioned entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponing the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office will charge interest on the unpaid amount at an annual rate, using a reduced late payment interest rate announced based on Article 56d of the Act of August 29, 1997, Tax Ordinance (Journal of Laws of 2023, item 2383, consolidated text), from the day following the submission of the request.

****Print Article****

****Metadata****

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